

FTSE QUALITY OF MARKETS CRITERIA (Watch List) as at March 2026

CRITERIA	DEV WATCH	ADV EMG WATCH	SEC EMG WATCH	EGYPT*	FRONTIER WATCH
World Bank GNI Per Capita Rating (Atlas Method)				Lower Middle	
Credit Worthiness				Highly Speculative	
Market and Regulatory Environment					
Formal stock market regulatory authorities actively monitor market (e.g., SEC, FSA, SFC)	X	X	X	Pass	X
Fair and non-prejudicial treatment of minority shareholders	X	X		Pass	
No or selective incidence of foreign ownership restrictions	X	X		Pass	
No objection to or significant restrictions or penalties applied to the investment of capital or the repatriation of capital and income	X	X	X	Pass	X
No or simple registration process for foreign investors	X	X		Pass	
Foreign Exchange Market					
Developed foreign exchange market	X	X		Not Met	
Equity Market					
Brokerage - Sufficient competition to ensure high quality broker services	X	X	X	Pass	
Transaction costs - implicit and explicit costs to be reasonable and competitive	X	X	X	Pass	
Tax – imposition of taxes to be reasonable and comparable between domestic and non-domestic investors	X	X		Pass	
Stock Lending is permitted	X			Restricted	
Short sales permitted	X			Restricted	
Developed Derivatives Market	X			Not Met	
Off-exchange transactions permitted	X			Not Met	
Efficient trading mechanism	X	X		Pass	
Transparency - market depth information / visibility and timely trade reporting process	X	X	X	Pass	X
Clearing, Settlement and Custody					
Settlement - costs associated with failed trades	X	X	X	Pass	X
Settlement Cycle (DvP)	X	X	X	T+2	X
Central Securities Depository	X	X	X	Pass	
Central Counterparty Clearing House (Equities)	X	X		Not Met	
Settlement - Free delivery available	X			Restricted	
Custody - Sufficient competition to ensure high quality custodian services	X	X	X	Pass	
Account structure operating at the Custodian level (securities and cash)	X			Not Met	

 Shading indicates a rating change from September 2025

* Egypt on the Watch List for possible reclassification from Secondary Emerging to Frontier for failing the minimum stock count requirement to retain Secondary Emerging market status